

Fly GACA — Finance Strategy

SECTION 03-finance

TYPE strategy

STATUS **draft**

OWNER Founder

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Draft for owner review — not financial or legal advice. The polished policy detail lives in the authoritative deliverables in this folder: banking-and-treasury-policy.docx · procurement-policy.docx · expense-and-travel-policy.docx · petty-cash-policy.docx · capital-expenditure-capex-policy.docx · chart-of-accounts-saudi-specific.docx · monthly-close-checklist.docx · budget-vs-actual-tracker.xlsx · financial-dashboard-kpis.xlsx. This document is the working narrative that connects them.

Purpose

The working-narrative companion to the polished finance deliverables — the "why" behind the policies and trackers, in diffable markdown. It states how Fly GACA earns, spends, banks and reports as a **pre-revenue, pre-entity, solo-founder** company entering the go-to-company quarter (Q3 FY2026), and what changes at each gate on the critical path (`00-strategy/ceo-execution-roadmap-2026-07.md`).

Authoritative deliverables (source of truth)

- banking-and-treasury-policy.docx
- procurement-policy.docx
- expense-and-travel-policy.docx
- petty-cash-policy.docx
- capital-expenditure-capex-policy.docx
- chart-of-accounts-saudi-specific.docx
- monthly-close-checklist.docx
- budget-vs-actual-tracker.xlsx
- financial-dashboard-kpis.xlsx
- monetization.md (pricing + revenue plan — single source of truth for prices)

1. Financial model summary

As of 2026-07-03. Revenue to date: **SAR 0**. Legal entity: not yet registered. The product is built and deployed; the billing machine (Moyasar checkout to be integrated per DEC-010 — RevenueCat iOS IAP still unimplemented, B2B seat grants, free-tier quotas, protected-content gate) is dormant behind launch mode. Stripe was never shipped and the code no longer exists.

The finance model for the next two quarters is therefore about **sequencing**, not forecasting precision: earn the revenue that is invoiceable now, keep fixed costs near zero, and time the one-off legal/entity spend against the critical-path gates.

1.1 Revenue lines & sequencing

Decision of record: **B2B-schools-first** (DEC-009, `01-governance/decision-log.md`). Consumer checkout cannot open until the legal entity exists and a payment gateway is live; schools can be quoted and invoiced **today** via a manual ZATCA-compliant e-invoice plus the existing admin grant route (`POST /api/org/:orgId/provision-seats`, each member then self-claiming via `POST /api/grants/school-seat` on a verified email). Full plan: `monetization.md` (Phases A–C) and `07-gtm/b2b-pipeline.md`.

#	Revenue line	Status	Gate	When it earns
1	Schools (B2B annual packages)	Sellable now — quote → signed order → manual ZATCA e-invoice → bank transfer → seats granted	None for pilots; bank account (Sprint 2) for cash collection	Now — the only invoiceable line pre-entity
2	Exam-prep packs (nine packs, three price bands, one-time)	Built, dormant	Entity + payment gateway (Sprint 3)	Paywall flip
3	Pro subscriptions (monthly / annual)	Built, dormant; founding-member annual lock building the pool pre-launch	Entity + payment gateway (Sprint 3)	Paywall flip
4	Exam Season Pass (one-time, 90 days)	Built, dormant	Entity + payment gateway (Sprint 3)	Paywall flip; seasonal around exam windows
5	Captain Adel credits (39 / 50 answers)	Built, dormant	Entity + payment gateway (Sprint 3)	Paywall flip; tops up the free daily allowance without a subscription
6	Licensed Captain Adel API (<code>/v1/ask</code> , metered monthly tiers)	Surface built and tiered (<code>docs/LICENSED-API.md</code>); no customers	Entity for invoicing; API keys issued per contract	Post-entity — B2B-shaped, sells like the schools line (quote → invoice), not self-serve

Year-1 revenue logic (per `monetization.md` and DEC-009): 10 Cohort packages at SAR 12,000 ≈ **SAR 120k ARR** — this dominates everything else until consumer checkout opens, so it gets the founder's selling time from Sprint 1 onward.

1.2 Pricing snapshot (SAR) — price card re-cut 2026-08-19

`monetization.md` is the single source of truth; this is the summary card. Every figure is **VAT-inclusive**, as ZATCA requires of a published consumer price.

Line	Item	Price
Subscription	Pro Monthly	79/mo
Subscription	Pro Annual	649/yr (≈54/mo, save 32%; 7-day trial)
Subscription	Exam Season Pass (90 days)	299 one-time
Credits	Captain Adel credits	39 · 50 answers
Pack — Essential	Conversion · Medical · AIP	249 each
Pack — Standard	ELP/SAELPT · ATPL · IR	399 each
Pack — Complete	CPL · PPL	499 each
Pack	All-Access Bundle (all eight paid packs, permanent)	1,499
B2B	Cohort — up to 25 seats, one 90-day intake	12,000/yr (480/seat/yr)
B2B	Academy — up to 100 seats, rolling 12 months	39,000/yr (~390/seat/yr)
B2B	Institution — 100+ seats, SSO	from 72,000
API	Licensed <code>/v1/ask</code> — Starter / Growth / Scale	499 · 1,999 · 6,999 per month (1,000 / 5,000 / 25,000 answers); Enterprise custom

Packs price by how much material each carries, not by certificate-vs-subject label; `airspace-vfr` stays free as the sampler. **There is no Student tier** — it was removed on 2026-08-19 (it undercut Pro for an identical entitlement and its eligibility check was never wired to a route).

Founding-member consumer offer: annual at **SAR 549** for the first year (first 500 waitlist members), honoured through a 30-day grandfather window at the paywall flip. Invariant: the regulations library, guides and safety lessons are **never paywalled** — Fly GACA charges for tools, teaching and AI, never for reading the law.

1.3 Cost structure — solo-founder static-site startup

The cost base is deliberately minimal: a static SPA build served from a Cloud Storage bucket behind an HTTPS load balancer (with Cloudflare/Netlify/Vercel mirrors proxying `/api/*`), a single Express service on **Cloud Run me-central2 (Dammam)** backed by a **Cloud SQL Postgres** instance, and the Captain Adel RAG flow (Genkit + Gemini). There is no payroll, no office, no inventory.

Bucket	Items	Behaviour
COGS	Gemini API + in-Kingdom Arabic provider inference, Cloud Run + Cloud SQL, corpus-bucket egress	Variable with usage; the free-tier quota design (5 Captain Adel questions/day, 3/day signed-out) caps it — target: Captain Adel cost per free user < ~SAR 1/month. The 55 flight tools are free and run client-side, so they carry no marginal cost
Operating	Domains (flygaca.com, captadel.com), dev tooling, analytics	Small, flat
One-time (Q3, per ceo-roadmap)	IP lawyer fixed fee (Sprint 0–1) · CR registration + bank account (Sprint 2) · ZATCA VAT/Fatoora onboarding + payment-gateway setup (Sprint 3) · Apple/Google developer accounts (iOS/Android wrappers)	Lumpy; timed against gates — amounts [Owner to confirm] as quotes land
Contingent	Paid help for ZATCA/payments integration and Arabic legal-page review (the flagged solo-founder overload points); rebrand cost if the name opinion says "rebrand"	Only if triggered

Actual YTD figures live in budget-vs-actual-tracker.xlsx — [Owner to confirm] current budget/actual/burn numbers; the board pack (§3) carries the same bracketed cells.

1.4 Runway thinking

Pre-entity, the company is founder-funded and burn is near zero outside the one-time items above. The runway question only becomes quantitative once the business bank account opens (Sprint 2) and the lawyer/registration invoices land. Working posture until then:

- **Cash runway (months)** is a top-8 board KPI (plan target ≥ 18 months by Sep 2027) — current figure [Owner to confirm] in the board pack and financial-dashboard-kpis.xlsx.
- Sequence spend behind gates: no gateway/VAT spend before the entity exists; no brand or localization spend before the name is locked (DEC-008).
- The first school invoice (Sprint 2 target) is the first cash in — treat B2B collections, not fundraising, as the default runway extension.

2. Budgeting & close rhythm

- **Monthly close** — run monthly-close-checklist.docx at each month end. Owner: Founder (solo; there is no delegation path yet). Sign-off is the founder dating the completed checklist.
- **Budget vs actual** — budget-vs-actual-tracker.xlsx reviewed at the same monthly close; variances feed the Financials section of the board pack (01-governance/board-pack-2026-07.md §3).
- **Quarterly** — the board pack circulates with the KPI dashboard and financials no later than 48 hours before the meeting; the decision log is updated within 7 days of any finance-relevant decision.

- Cadence detail (thresholds, approval limits) — see procurement-policy.docx, expense-and-travel-policy.docx and capital-expenditure-capex-policy.docx; this document does not restate their numbers.

3. Treasury & banking posture

Summarised from banking-and-treasury-policy.docx — see that document for signatories, limits and reserve rules; amounts are not restated here.

- The **business bank account is open** — Arab National Bank via SiFi (ceo-roadmap 2.3 done); the IBAN is recorded in `../01-governance/company-facts.md` and `phase0.md`.
Personal/company fund separation is in effect from the account's opening. (Note: the banking-and-treasury-policy.docx pre-specified Al Rajhi/SNB — corrected to the actual bank in this pass.)
- School payments are collected by **bank transfer against the ZATCA e-invoice**; no card acquiring is needed for the B2B line.
- Signatory model — **decided 2026-08-09 (brief C3)**: single signatory (the founder) now; move to dual signatory when a second officer joins. **[Owner to confirm]** the banking-and-treasury-policy.docx text is updated to match this model.
- Petty cash: per petty-cash-policy.docx; expected to be negligible for a remote, static-site operation.

4. Payments gateway — Moyasar (RESOLVED, DEC-010)

Resolved 2026-08-09 as **DEC-010** (`01-governance/decision-log.md`): **Moyasar is the KSA payment gateway of record**. This confirms DEC-003 and clears the reconciliation flagged in the decision log (2026-07-02) and the board pack ahead of the Sprint 3 paywall flip.

Aspect	Position
Go-live gateway	Moyasar — Saudi-licensed, mada- and Apple Pay-capable, Fatoora-compatible; the decision of record for KSA consumer payments
Stripe	Not in play . Stripe was never shipped and the code no longer exists in the product repo; no Stripe secrets are set and no Stripe products are created at go-live
Sprint 3 work	Moyasar integration (products at the <code>monetization.md</code> price card, checkout → confirm → webhook → renewal job, all on the Cloud Run service) is the payments step in the Phase C checklist; this is new integration work in the highest-load sprint — plan paid help per \$1.3 if needed
iOS	Unchanged — RevenueCat IAP (still unimplemented), independent of the web gateway choice

Review checkpoint: DEC-010 carries a review date of **2026-08-27 (Sprint 3)** — if Moyasar onboarding or integration slips the paywall flip, the fallback is another mada-capable Saudi gateway (HyperPay / PayTabs / Tap); that decision is taken then and logged. **[Owner to confirm]** which fallback gateway is preferred — there is no dormant integration to fall back on any more.

5. KPIs tracked

Aligned with the board pack top-8 ([01-governance/board-pack-2026-07.md](#) §2) and the monetization KPIs; the dashboard workbook is [financial-dashboard-kpis.xlsx](#).

KPI	Source	Target
Legal entity exists (CR + bank)	Board pack	Registered by 27 Aug 2026
Paying customers (schools)	Board pack	≥1 signed pilot → 1 paid contract this quarter; 5 academies by Sep 2027
ARR (SAR)	Board pack	First invoice this quarter; 1.8M plan target (Sep 2027)
Cash runway (months)	Board pack / tracker	≥18 (plan); current [Owner to confirm]
School seats sold; active vs licensed	monetization.md / CS	>80% adoption
Captain Adel cost per free user	monetization.md	< ~SAR 1/month
Free→paid conversion at the Adel quota wall	monetization.md	Baseline being instrumented now
Annual share of new Pro subscriptions	monetization.md	>60%
Waitlist size / weekly growth	monetization.md	Pre-launch conversion pool
Renewal rate (schools)	b2b-pipeline.md	>95%

6. Saudi-specific notes

- **ZATCA e-invoicing** — B2B invoices are ZATCA-compliant from the first one (manual Fatoora-compatible e-invoice pre-integration); full Fatoora integration lands in Sprint 3 alongside **VAT registration**. Detail: [../04-compliance-ksa/zatca-fatoora-e-invoicing-compliance-pack.docx](#) and [vat-compliance-memo.docx](#); deadlines in [saudi-tax-and-compliance-calendar.docx](#).
- **Chart of accounts** — [chart-of-accounts-saudi-specific.docx](#) maps the ledger to KSA reporting conventions; adopt it from the first bank transaction so the first close is clean.
- **SME programmes** — Monshaat registration and NTDP eligibility are Sprint 2 actions (ceo-roadmap 2.2); application kits in [../04-compliance-ksa/](#). Any grant/support money is upside, not planned cash.
- **PDPL** — user questions are personal data; the service and its database are in-Kingdom (**me-central2, Dammam**) regardless of monetization phase. The DPIA gates public consumer accounts, not the B2B motion.
- **VAT on prices** — **decided 2026-08-09 (brief A2)**: the published SAR price card is **VAT-inclusive** for consumer-facing prices; B2B quotes show VAT as a separate line at the prevailing rate (order form §2).

Open questions

1. Current cash on hand, YTD actuals and runway months — **[Owner to confirm]** in budget-vs-actual-tracker.xlsx and the board pack.
 2. One-time cost amounts: lawyer fixed fee, CR + bank fees, gateway/VAT onboarding — **[Owner to confirm]** as quotes arrive (lawyer quotes requested in Sprint 0).
 3. ~~VAT treatment of the price card~~ — resolved 2026-08-09 (A2): consumer prices VAT-inclusive.
 4. Entity form — resolved by the registration: LLC, CR 7030976893; the chart of accounts reflects this.
 5. ~~Banking signatory model~~ — resolved 2026-08-09 (C3): single signatory now, dual at a second officer; docx text update **[Owner to confirm]**.
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Living document — companion to `monetization.md` (prices), the ceo-execution-roadmap (gates) and the board pack (reporting). Not financial or legal advice.

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